

Rishikesh Vishwakarma v. State of U.P. & 2 Others

High Court of Judicature at Allahabad · Division Bench · 3 April 2017 · Writ - C No. 6189 of 2017 · **Writ petition allowed: the impugned recovery citation/demand notice dated 4.1.2017 (for electricity dues stated as Rs. 8,47,550/-, corrected on 17.5.2019 to Rs. 84,750/-) and all consequential proceedings quashed for want of the mandatory opportunity of hearing under Clause 6.8(b) of the U.P. Electricity Supply Code, 2005 and for absence of a final assessment order recording the authority's satisfaction as to service of the provisional assessment notice; respondents directed to prepare a fresh provisional assessment, serve it upon the petitioner, and after considering the objections pass a reasoned final assessment order meeting them, in the light of Ashok Kumar v. State of U.P., 2008(6) ADJ 660 (DB).**

Source file: WRIC(A)_6189_2017.pdf

HEADNOTE

The petitioner challenged a recovery citation dated 4.1.2017 issued by the Purvanchal Vidyut Vitran Nigam Ltd. for alleged theft of electricity. On the licensee's instructions it was stated that a provisional assessment had been made, a final assessment prepared when no objection was filed, and a demand notice issued, but it was admitted that no notice or opportunity had been afforded to the petitioner to object to the provisional assessment. Following *Ashok Kumar v. State of U.P., 2008(6) ADJ 660 (DB)* (paras 56 to 64), which lays down the U.P. Electricity Supply Code, 2005 procedure to be followed in a theft-of-electricity assessment, the Division Bench held (i) that the petitioner had not been afforded the opportunity of hearing mandatorily warranted under Clause 6.8(1)(b), and (ii) that, even otherwise, no final assessment order recording the authority's satisfaction about service of the provisional assessment notice had been passed as required in law; the recovery citation therefore could not be sustained. The writ petition was allowed, the demand notice dated 4.1.2017 and all consequential proceedings quashed, and the respondents directed to prepare a fresh provisional assessment, serve it, and after considering the petitioner's objections pass a reasoned final assessment order in the light of *Ashok Kumar*. By a later order dated 17.5.2019 the recovery amount recorded in the judgment was corrected from Rs. 8,47,550/- to Rs. 84,750/-.

FACTUAL SUMMARY

The petitioner, Rishikesh Vishwakarma, filed a writ petition under Article 226 of the Constitution challenging the recovery citation dated 4.1.2017 issued by respondent no. 2 (Purvanchal Vidyut Vitran Nigam Ltd.). On the licensee's instructions it was stated that the petitioner had been caught committing theft of electricity, that a provisional assessment was made, that a final assessment was prepared when no objection was filed, and that a demand notice was then issued; it was, however, submitted that no notice or opportunity had been afforded to the petitioner to object to the provisional assessment. During the proceedings the Court found the department's instructions vague as to whether any provisional or final assessment had actually been carried out, and on 24.3.2017 directed the Executive Engineer of the Nigam to appear with the entire records so that the petition could be disposed of. The matter was heard and decided by a Division Bench on 3.4.2017. The recovery demand was recorded in the judgment as Rs. 8,47,550/-, an amount later corrected, on a correction application, by order dated 17.5.2019 to Rs. 84,750/-. The petitioner was represented by Sri Pradeep Kumar and the respondent-Department by Sri Anand Bhaskar Srivastava (with Sri Mangla Prasad Rai).

REUSABLE CONSTRUCTIONS

1. In a theft-of-electricity assessment the consumer must be afforded the opportunity of hearing mandatorily warranted by Clause 6.8(b) of the U.P. Electricity Supply Code, 2005; a recovery citation issued without that opportunity is liable to be set aside. *order of 3.4.2017*
2. A recovery citation cannot be sustained unless a final assessment order has been passed recording the authority's satisfaction about service of the provisional assessment notice, as required in law. *order of 3.4.2017*
3. On quashing a theft recovery for procedural default, the proper course is to relegate the licensee to a fresh assessment: prepare and serve a provisional assessment, consider the consumer's objections, and pass a reasoned final assessment order meeting those objections, in the light of *Ashok Kumar v. State of U.P., 2008(6) ADJ 660 (DB)*. *order of 3.4.2017*

HOLDING-UNIT · UP-2005::6.8(b)**RATIO**

Opportunity of hearing before assessment is mandatory in a theft case; a recovery citation issued without it is set aside

QUESTION

In a theft-of-electricity recovery, can a recovery citation be sustained where the consumer was afforded no opportunity of hearing before the assessment, as mandatorily warranted under Clause 6.8(b) of the U.P. Electricity Supply Code, 2005?

HOLDING

No. Clause 6.8(b) mandatorily warrants an opportunity of hearing to the consumer in a theft-of-electricity assessment, following the Supply Code procedure explained in *Ashok Kumar v. State of U.P.*, 2008(6) ADJ 660 (DB). Where the licensee admits that no notice or opportunity was afforded to the consumer to object to the provisional assessment, the recovery citation cannot be sustained and is liable to be set aside; the licensee must begin afresh by preparing and serving a provisional assessment and, after considering the consumer's objections, pass a reasoned final assessment order. **order of 3.4.2017**

QUALIFIER

The hearing requirement was applied following *Ashok Kumar* (supra); the Court expressed no view on the merits of the theft allegation or the correct quantum, which were left to the fresh assessment on remand.

EVIDENCE “no notice or opportunity was afforded to the petitioner to object to the provisional assessment” **order of 3.4.2017**

EVIDENCE “As the petitioner has not been afforded opportunity of hearing in the matter as is mandatorily warranted under Clause 6.8 (1)(b) of the U.P. Electricity Supply Code, 2005” **order of 3.4.2017**

EVIDENCE “the impugned recovery citation cannot be sustained and is liable to be set-aside” **order of 3.4.2017**

FLAG Source is an order-sheet spanning 9.2.2017 to 17.5.2019 with no printed page numbers and no numbered paragraphs; pins are to order dates.

HOLDING-UNIT · UP-2005::6.8(b)**RATIO**

A recovery citation is unsustainable where no final assessment order records the authority's satisfaction as to service of the provisional assessment notice

QUESTION

Independently of the hearing defect, can a recovery citation stand where no final assessment order has been passed recording the authority's satisfaction about service of the provisional assessment notice?

HOLDING

No. Even otherwise, the recovery could not be sustained because no order of final assessment had been passed containing the authority's satisfaction about service of the provisional assessment notice, as required in law. This independent defect also rendered the impugned recovery citation liable to be set aside. **order of 3.4.2017**

EVIDENCE “even otherwise, no order of final assessment has been passed containing satisfaction of the authority about service of provisional assessment notice as is required in law” **order of 3.4.2017**

FLAG Order-sheet source; pins are to order dates.

PRINCIPLE TAGS**mandatory-hearing-before-theft-assessment**

Clause 6.8(b) of the U.P. Electricity Supply Code, 2005 mandatorily warrants an opportunity of hearing before assessment in a theft case; its denial renders the recovery citation liable to be set aside. Lead authorities: *Ashok Kumar v. State of U.P.*. **order of 3.4.2017**

final-assessment-must-record-satisfaction-of-service

A recovery citation is unsustainable where no final assessment order records the authority's satisfaction about service of the provisional assessment notice. **order of 3.4.2017**

remit-for-fresh-reasoned-assessment

On quashing a theft recovery for procedural default the licensee is relegated to a fresh provisional assessment, service, consideration of objections, and a reasoned final assessment in the light of *Ashok Kumar*. Lead authorities: *Ashok Kumar v. State of U.P.*. **order of 3.4.2017**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS OF THE ALLEGED THEFT OF ELECTRICITY AND THE CORRECT QUANTUM OF THE ASSESSMENT.

Left to the fresh assessment on remand; the Court set aside the recovery only for procedural default and directed a fresh provisional assessment, consideration of objections, and a reasoned final assessment order. [order of 3.4.2017](#)

RELATED CASES — SEE ALSO

SCJ-1227 — Theft citation quashed for want of a Clause 6.8(b) opportunity - a citation cannot stand unless the licensee shows the provisional assessment was served and the consumer heard; directly parallel.

SCJ-1226 — Recovery certificate founded on an unserved provisional assessment quashed for failing Clause 6.8(b); sibling on the service/opportunity requirement.

SCJ-1733 — Virendra Singh v. State of U.P. - a Clause 6.8(b) provisional-assessment notice must specify a date and time for hearing and disclose the basis; same Ashok Kumar-based remedy of remit for a reasoned final assessment.

SCJ-1447 — Sudha Kashmiri v. Executive Engineer - a Clause 6.8(b) notice that neither fixes a hearing date nor discloses the basis is bad; companion authority applying Ashok Kumar.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar v. State of U.P.</i> 2008(6) ADJ 660 (DB) High Court of Judicature at Allahabad	Considers, at paras 56 to 64, the provisions of the U.P. Electricity Supply Code, 2005 to be followed in a case of theft of electricity for assessment, including the opportunity of hearing and the requirement of a reasoned final assessment order.	Relied on order of 3.4.2017	Court	Relied on

SCJ-2197 · Rishikesh Vishwakarma v. State of U.P. & 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.